

EG Daily Brief: Germany coalition breakdown risk drops

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Daily Brief: Germany coalition breakdown risk drops

Germany reform deal | Oil market outlook | US-China tariffs | China economic policy | Plastics producer responsibility | Upcoming conference calls | EG in depth

summary

- * The probability of a premature collapse of the German government coalition has declined on the back of July's reform deal.
- * Without a clear path to de-escalation and the Strait of Hormuz expected to remain closed for another three to six weeks, oil prices are likely to remain volatile.
- * Reciprocal tariff reductions are likely when President Xi Jinping visits the US in September.
- * In China, this week's Politburo economic meeting will likely signal targeted support for the economy, but there is little appetite for a substantial policy shift to support household demand.
- * Regions, countries, and sectors covered in this edition include the US, EU, China, Germany, Indonesia, Iran, Mexico, Senegal, and the UK, MENA crisis, geoeconomics, oil, sustainability, consumer and retail.

the top line

Germany—Reform deal significantly reduces odds of government breakdown

- * The governing coalition's compromise on pensions, taxes, and deregulation creates new staying power for Chancellor Friedrich Merz's government, with the probability of premature collapse now at 20% (down from 40%).
- * In terms of growth, the deal's direct impact will be limited, but the pension provisions constitute meaningful structural reform and will stabilize public finances in the medium to long term.
- * The key government stability signposts over the next six months are the three state elections in the fall and the parliamentary vote on Germany's next head of state in January, both of which will require skillful coalition handling by Merz.
- * Read more here . Reach out to discuss: europe@eurasiagroup.net .

MENA Crisis, Oil—Hormuz closure will endure as escalation risk drives volatility

* Brent crude rose to \$100 per barrel on risk of US escalation against Iran before falling sharply as the US paused strikes. Without a clear de-escalation path, tensions will remain high and prices are likely to be volatile.

* Traffic through the Strait of Hormuz has reduced sharply (see chart below). Shipping companies expect the Strait to remain mostly closed for three to six more weeks.

* Houthi attacks will disrupt Saudi oil flows out of the Red Sea but will not fully shut traffic through the Bab al Mandeb.

* Read more here . Reach out to discuss: ecr@eurasiagroup.net .

US, China—Targeted bilateral tariff reductions likely centerpiece of September summit

* The US-China Board of Trade will likely deliver reciprocal tariff reductions at the September summit when Xi visits the US.

* China's Ministry of Commerce has indicated that US agriculture and energy exports are early targets for tariff relief, while the US will probably lower tariffs on low-tech consumer goods from China.

* Beijing will tolerate Section 301 tariffs up to a 20% nominal rate—which would probably put the overall effective rate at roughly 30%—as a like-for-like replacement of the previous tariff wall, but anything above that threshold would likely trigger a one-off reciprocal hike.

* Read more here . Reach out to discuss: china@eurasiagroup.net .

China—Confident policymakers will avoid consumption policy shift at Politburo meeting

* China's leadership does not view recent weak economic data as a crisis. Following the enactment of the 15th Five-Year Plan and China's display of resilience amid Iran conflict-driven energy disruptions, Chinese leaders feel confident and do not plan to shift economic policy toward consumption support.

* This week's Politburo economic meeting will likely signal targeted support for the economy, but Beijing has shown little appetite for a policy shift and still favors fine-tuning current policies over moves that would redirect growth toward household demand.

* Greater flexibility from local authorities may reduce day-to-day compliance burdens for foreign firms, but national-level priorities can still trigger abrupt regulatory tightening.

* Read more here . Reach out to discuss: china@eurasiagroup.net .

Sustainability, Consumer & Retail—Producer responsibility for plastic packaging waste is becoming the global default

* With Global Plastics Treaty talks stalled, regulators are advancing national and subnational policies governing the design, composition, and disposal of plastic packaging, largely focused on producer responsibility, across Europe, North America, South America, East Asia, and Southeast Asia.

* Industry backlash and implementation challenges could shift the timelines of Extended Producer Responsibility (EPR) laws but are unlikely to derail the broader adoption over the long term.

* Fragmentation now poses the biggest challenge for businesses, particularly multinational companies that must navigate divergent requirements, fee structures, and reporting obligations across jurisdictions.

* Read more here . Reach out to discuss: sustainability@eurasiagroup.net .

Upcoming conference calls

* 28 July 10:30 AM ET—Iran war escalation & energy implications. Register here .

* 30 July 9:30 AM ET—Brazil update. Register here .

eg in depth

Indonesia—Bank Indonesia (BI) governor's exit fuels central bank independence concerns: BI Governor Perry Warjiyo's resignation makes him the first central bank head to leave mid-term since 2009. Senior Deputy Governor Destry Damayanti will serve as acting governor. Perry's departure exacerbates concerns about institutional quality and independence: the central bank has come under increasing political pressure since President Prabowo Subianto took office in 2024, and contacts suggest growing tensions with the administration over the balance between rate hikes and other measures to support the currency. Notably, his resignation came less than a week after BI surprised markets by holding rates at 5.75%. Read more here . Reach out to discuss: southeastasia@eurasiagroup.net .

EU, UK—conference call on EU and UK political outlook: Prime Minister Andy Burnham's first week in Number 10 has been more successful than Keir Starmer's, offering a clearer political narrative and policy agenda than the previous government, although questions about his economic program remain. In France, next year's presidential election presents Europe's biggest political risk because Marine Le Pen would withhold France's contribution to the EU budget and use that leverage to advance her political priorities. The EU is becoming more protectionist toward China, though its new trade tools will probably not arrive until 2028. In the meantime, it will likely use its existing trade defense instruments more proactively and forcefully. Read more here and see slide deck . Reach out to discuss: europe@eurasiagroup.net .

ECR, UK—Britain likely to narrowly miss clean power pledge: Burnham will likely retain Labour's pledge for England, Scotland, and Wales to generate at least 95% of electricity from clean sources by 2030, with roughly 40% odds of delivering on this commitment by the deadline. The government's priority 2030 pipeline provides a credible pathway, but connecting new projects to the grid and navigating interconnector constraints create additional operational risks. Burnham will likely preserve core delivery mechanisms—Contracts for Difference auctions, Great British Energy, and grid reform—but his push for devolution, domestic supply chains, and greater public ownership will have mixed effects on hitting the target. Read more here . Reach out to discuss: ecr@eurasiagroup.net .

US, Geoeconomics—Midterms likely to shift expectations of Fed actions: The US midterm elections often trigger a rapid reset in market expectations for Federal Reserve rates by resolving uncertainty and, at times, reshaping the fiscal outlook following shifts in congressional control. Our assessment of how markets repriced Fed expectations after past midterms found that, on average, post-election moves lifted the implied Fed path, with markets pricing fewer cuts or more hikes. EG's 2026 midterms basecase implies likely fiscal expansion after the elections, making a hawkish repricing of Fed expectations the most likely post-election outcome because stronger fiscal support would raise expected growth and inflation pressures. Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

US, Mexico—Joint sanctions on money laundering network will strengthen security cooperation: The US Treasury's Office of Foreign Assets Control, working with Mexico's Financial Intelligence Unit, sanctioned more than 50 Mexican individuals and entities linked to the Jalisco New Generation Cartel, and focus on new leadership, drug trafficking cells, money laundering structures, fuel theft operations, and front companies. US agencies are placing greater emphasis on financial networks and commercial intermediaries to weaken criminal resilience. Notably, this latest action only targeted alleged criminals and did not focus on any politicians with corruption accusations. President Claudia Sheinbaum will try to use this shared approach to crack down on criminal financial networks and reduce the risk of unilateral US actions. Cooperation on this front will continue, but Sheinbaum's refusal to extradite politicians accused of links to criminal groups will remain a source of strain in the bilateral relationship. Read more here . Reach out to discuss: mexico@eurasiagroup.net .

Senegal—Faye likely to secure parliamentary majority early next year: President Diomaye Faye's planned launch of a new political party on 25 July represents another step in his effort to strengthen his electoral machine ahead of local and expected snap legislative elections early next year. The new party may not win more than 50% of parliamentary seats, but Faye will likely be able to form a working majority by collaborating with traditional opposition parties and independents. A majority for Faye would facilitate economic stabilization and signal to investors and creditors that Dakar can sustain a coherent reform agenda. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming events:

* 28 July: Events: Keiko Fujimori to be sworn in as Peru's next president; Data: US wholesale inventories and Conference Board consumer confidence; Central bank decision: Chile.

* 29 July: Events: Microsoft, Meta, and SK Hynix earnings; Data: Russia unemployment, US retail sales; Central bank decision: US.

* 30 July: Events: Apple, Amazon, and Samsung earnings; Data: Eurozone GDP, unemployment, and consumer confidence, US GDP, consumer income, and PCE price index; Central bank decisions: UK and Ukraine.

* 31 July: Events: Chevron, Exxon Mobil earnings; Data: China manufacturing and non-manufacturing PMI, Eurozone CPI, Japan CPI, and US UMich consumer sentiment; Central bank decisions: Colombia and Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, and Trista Kelley, with help from Astral Betteridge.

closing quip

The only reason they want to meet is because we've been hitting them very hard. There's a good chance that something could happen, and if it does good. If it doesn't, we go back to doing what we were doing."—US President Donald Trump, speaking to reporters aboard Air Force One, as reported by Bloomberg.

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Explanation of Political Trajectories (ie, "Trajectories")

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.

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